GUARANTY HOLDINGS v. RESORT OF LAKE TULLOCH, et al.

20CV44713

PLAINTIFF'S MOTION TO EXPUNGE LIS PENDENS

This is a civil dispute over the alleged unauthorized removal of fixtures from certain real property located at 108 Sanguinetti Court, Copperopolis, CA, which plaintiff acquired at a trustee's foreclosure sale. Before the Court is an unopposed motion to expunge a lis pendens recorded by the prior owners in underlying civil actions designed to stave off foreclosure (Plaintiff's Request for Judicial Notice is granted pursuant to Evidence Code Sections 452 and 453 as to all eight offered exhibits; see 18CV43734 and 19CV44032). (This is a *renewed* motion, the prior having been denied without prejudice for failing to comply with Local Rule 3.3.7.)

Pursuant to CCP §405.30, anyone with an interest in real property may move a court for an order expunging a *lis pendens*. A court "shall" grant a motion to expunge if either of the following conditions exist:

(1) The pleading upon which the lis pendens is based does not contain a real property claim (CCP §405.31); OR
(2) The claimant has not established by a preponderance of the evidence the probable validity of the real property claim (CCP §405.32).

The Legislature created expungement procedures to timely weed out groundless claims and mitigate against and control misuse of the lis pendens procedure. (*Palmer v. Zaklama* (2003) 109 Cal.App.4th 1367, 1375-1376; *Castro v. Superior Court* (2004) 116 Cal.App.4th 1010, 1023; in accord, *United Pacific Operations and Consulting, Inc. v. Gas and Oil Technologies, Inc.*, WL 4591062 at *6 (E.D. Cal. 2011)). As such, the ultimate burden of proof rests not with the party seeking expungement but rather with the party responsible for filing the lis pendens. (*Amalgamated Bank v. Superior Court* (2007) 149 Cal.App.4th 1003, 1007; *Shah v. McMahon* (2007) 148 Cal.App.4th 526, 529.)

Here, the defendants cannot establish probability of success with regard to their real property claims asserted in 18CV43734 and 19CV44032 since both of those lawsuits have been dismissed adverse to the defendants.

There is the interesting issue of a lis pendens recorded for a lawsuit that is no longer active. A lis pendens is nothing more than notice of a <u>pending</u> lawsuit in which a real property claim is alleged. CCP §405.2. As observed by the Court in *Garcia v. Pinhero* (1937) 22 Cal.App.2d 194, 196-197: "The constructive notice which is afforded by the recording of a notice of lis pendens is notice that an action has been instituted and is pending. Its sole object is to afford constructive notice that this particular action is pending. When the action wherein the notice is filed ceases to be pending and is terminated, the notice of its pendency has fully performed its office and may not be relied upon to afford constructive notice; in accord, *In re Remmert*, WL 6259959 at *4 (9th Cir. 2010) ["a lis pendens is ineffective where the action to which it pertains has been dismissed or no longer pending"]. However, this Court agrees with plaintiff that the cloud still surfaces in a title search, and is likely enough to cause a title insurer some angst before issuing a policy. Thus, formal expungement is merited.

Based on the foregoing, the motion to expunge is GRANTED.

Plaintiff requests fees and costs. Plaintiff is the prevailing party. (See *Castro v. Superior Court* (2004) 116 Cal.App.4th 1010, 1022-1023. Pursuant to CCP §405.38, "the court shall direct that the party prevailing on any motion under this chapter be awarded the reasonable attorney's fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney's fees and costs unjust.") As to the former, the burden rests with the party resisting the sanction to show that its resistance was "clearly reasonable [and] well-grounded in both law and fact." (*Padron v. Watchtower Bible & Tract Society of New York, Inc.* (2017) 16 Cal.App.5th 1246, 1269; *Diepenbrock v. Brown* (2012) 208 Cal.App.4th 743, 747-748.) Nothing of the sort has been shown; Moreover, due to defendants' silence, this Court has no basis upon which to find that an award would be unjust.

Counsel seeks an award of $4,197.50 based upon 11.5 hours at $365/hr. Initially, the Court notes it has long held $300 per hour to be the going market rate for practice in this area. Additionally, as to the number of hours asserted, the Court finds that this is in actuality a fairly simple motion, and unopposed. The first time this motion was made, counsel requested $2,380.00. Although that counsel was subbed out, his work product in the structure of the motion was a solid starting point for new counsel, and quite likely that new counsel used old counsel's work since new counsel had only been in the case a few days before the motion was filed. This Court concludes that a reasonable billing rate for this motion is $300/hr and that this motion should not have taken new counsel more than 2 hours to complete. Sanctions in the amount of $660.00 (said fees plus filing fee) are awarded, payable within 20 days, to plaintiff's counsel by defendants and/or their counsel.

The Clerk to provide notice of this Ruling forthwith to the parties. Plaintiff to provide a formal Order complying with Rule of Court 3.1312 in conformity with this Ruling.

PADILLA v. SKYLINE BEAR VALLEY MOUNTAIN RESORT

21CV45139

DEFENDANT'S MOTION FOR CHANGE OF VENUE

This is a personal injury premises liability action involving the alleged failure of the binding on a snowboard rented from defendant. Before the Court this day is an unopposed motion to change venue to Alpine County.

Venue rules designate a particular county (or counties) within California as the proper place for trial. The purpose of venue rules is to give defendants some control in the choice of where they are sued. Venue is not jurisdictional in the fundamental sense, though certain actions can "only" be brought in specific counties. The test largely begins with whether the main relief sought in the original operative pleading relates to rights in realty (local) or personalty (transitory). Venue is to be determined at the outset of the action based on the averments set forth in the operative pleading when the motion to transfer is first made. The burden of proof on a venue challenge rests with the moving party to overcome the strong presumption that the plaintiff has selected a proper venue. (*Brown v. Superior Court* (1984) 37 Cal.3d 477, 482; *Dow AgroScience LLC v. Superior Court* (2017) 16 Cal.App.5th 1067, 1076-1078; *Fontaine v. Superior Court* (2009) 175 Cal.App.4th 830, 836; *K.R.I. Partnership v. Superior Court* (2004) 120 Cal.App.4th 490, 505; *Alexander v. Superior Court* (2003) 114 Cal.App.4th 723, 731.)

Actions for physical injuries are triable either in the county where defendant resides or in the county where the physical injury occurred. (CCP §395(a).) When the defendant is a corporation, "residence" means principal place of business. (CCP §395.5.) However, defendants have no right to have the action tried at their residence if the action is filed where the injury occurred.

Here, the injury occurred at 2280 CA-207, Bear Valley, CA 95223 (see Para 5). Although, plaintiff alleges this to be in Calaveras County (see Complaint Para 1, this Court takes judicial notice that the location is just inside the western-most boundary of Alpine County.

Plaintiff separately claims that defendant "resides" in Calaveras County (see Complaint Para 1); however, unrefuted evidence establishes that Skyline Bear Valley Resorts, Inc. has its principal place of business at the resort itself, i.e., in Alpine County.

Based on the foregoing, the motion to transfer venue is GRANTED. As this case was filed in the wrong county, plaintiff is responsible for paying the costs and fees of transferring the action to Alpine County within 30 days after service of notice of the transfer order, upon risk of dismissal. (See CCP §399(a); *Stasz v. Eisenberg* (2010) 190 Cal.App.4th 1032, 1037.)